



Glycerine (Asia-Pacific)

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Please click [here](#) for full details on the criteria ICIS uses in making these price assessments.

OVERVIEW

- **Spot prices of refined glycerine drop on ample supplies from biodiesel output in Indonesia**
- **Downstream epichlorohydrin (ECH) local price firms on China 1 trillion yuan bond issuance**
- **Escalating Middle East tensions may spark regional war; uncertainties crimp spot interest**

Buyers pushed down their bids for refined glycerine, given ample supply from biodiesel output in Indonesia.

Spot refined glycerine material from Indonesia was heard available at competitive rates.

Indonesian producers were able to lower their glycerine offers due to lower feedstock costs and ample supplies.

Indonesia has a B35 biodiesel blending mandate with gasoline blended with 35% of biodiesel.

Glycerine is a by-product of biodiesel.

Fears that the escalating Middle East conflict may spark off a regional war also dampened market sentiment.

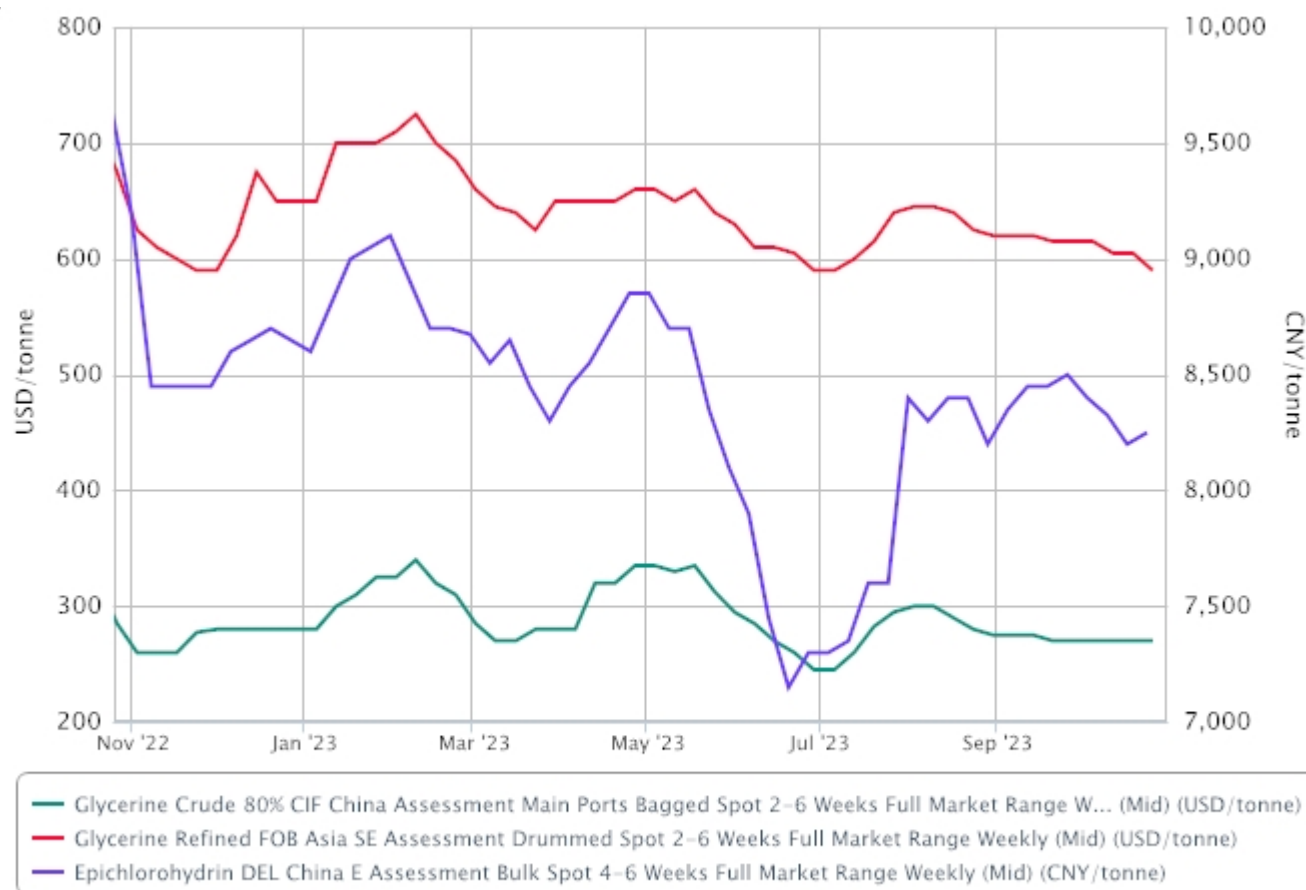
The downstream epichlorohydrin (ECH) market in China slowly started to firm amid cautious optimism that demand for ECH may strengthen following the 1 trillion yuan bond issuance to fund its infrastructure.

ECH is used in a wide range of applications, including epoxy resins, which are used in the construction industry.

China's National People's Congress Standing Committee passed legislation on 24 October for the government bond issuance worth yuan (CNY) 1tr (\$137bn) to fund rebuilding of disaster-hit areas.

The new bonds, which will be transferred to local governments, will raise China's budget deficit-to-GDP ratio for 2023 to 3.8% from 3.0% previously.

Half of the total amount will be used for this year, while the other half will be carried over to 2024.



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OUTLOOK

- **Uncertainties to dampen sentiment and weigh on demand in near term**
- **Chinese 1 trillion yuan bond issuance to bolster domestic ECH market**
- **Higher biodiesel output in Indonesia to see more glycerine supply**

PRICES

SPOT PRICES

			Price Range		Four Weeks Ago	US CTS/lb
Glycerine Crude 80%						
CIF China Main Ports Bagged	USD/tonne	n/c	265-275	n/c	260-280	12.02-12.47
Glycerine Refined						
CFR NE Asia Drummed	USD/tonne	-30	570-650	n/c	620-650	25.85-29.48
CFR China Drummed	USD/tonne	-30	570-650	n/c	620-650	25.85-29.48
FOB SE Asia Drummed	USD/tonne	-30	550-630	n/c	600-630	24.95-28.58

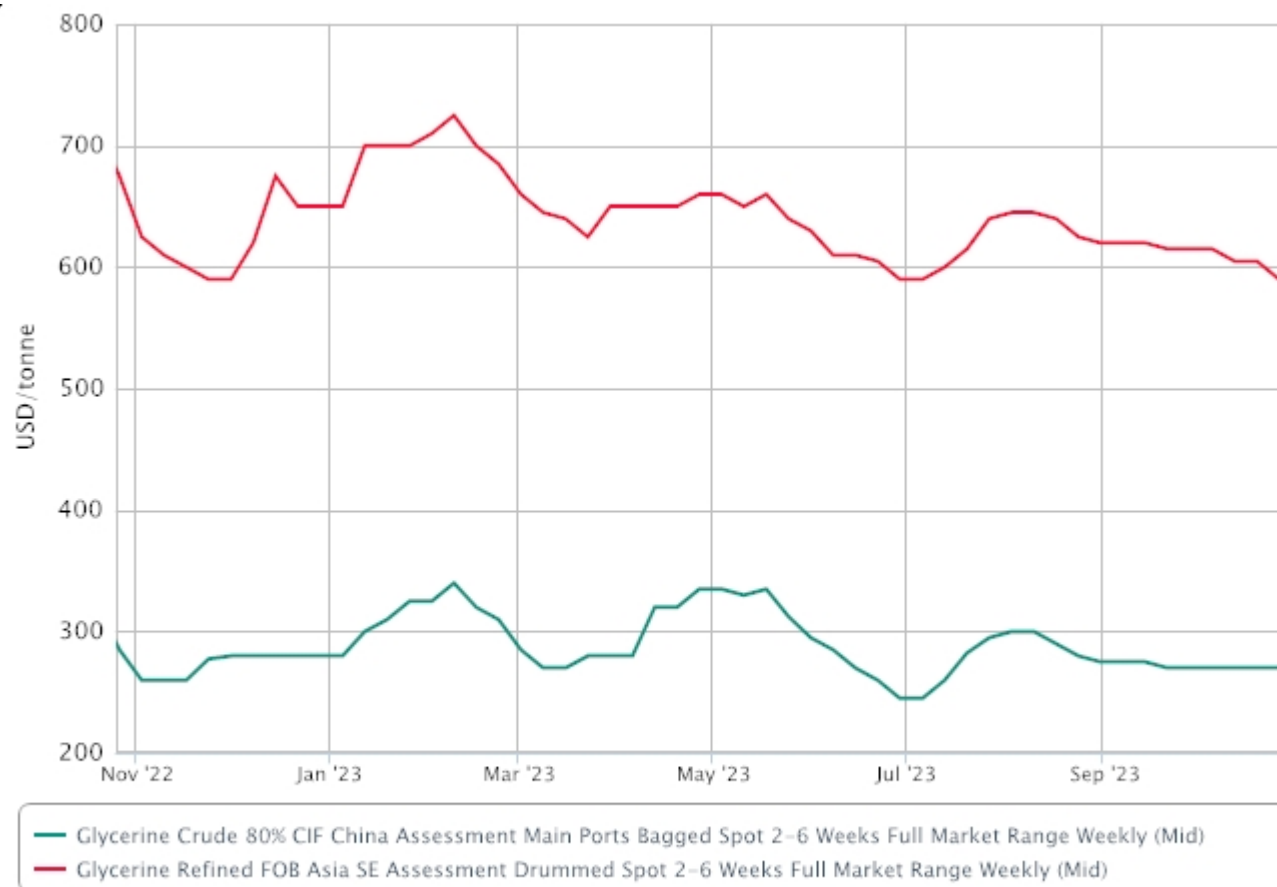
Refined glycerine

Spot prices of refined glycerine were assessed flat-to-weak on ample supplies from southeast Asia and Latin America.

Spot cargoes have been quoted at competitive rates for product from Indonesia and Brazil for late November and early December loadings.

Malaysian product was quoted at \$630/tonne FOB SE Asia for drummed product, but buyers have been seeking lower prices, given the availability of cheaper product.

Bids for refined glycerine have been falling, with buying indications from the downstream ECH makers no higher than \$550/tonne FOB SE Asia for drummed product.



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Crude glycerine

Spot prices were assessed unchanged at \$265-275/tonne CIF CMP to reflect discussions and trades for late November-early December bagged shipments from Brazil.

Bids were at \$260-265/tonne CIF CMP versus offers at \$275-280/tonne CIF CMP.

Spot offers and trades in product from southeast Asia were also heard, but confirmation of deals by the close of market was not forthcoming.

Product from Brazil or Latin America is typically priced lower than product from southeast Asia because it is subject to a 6% import duty and is of a lower 80% purity level.

Furthermore, it takes 5-8 weeks to ship product from Brazil to China.

Crude glycerine from southeast Asia is typically at a higher 85% purity level.

Its duty-free status and quick delivery time of about a week allows it to command a premium.

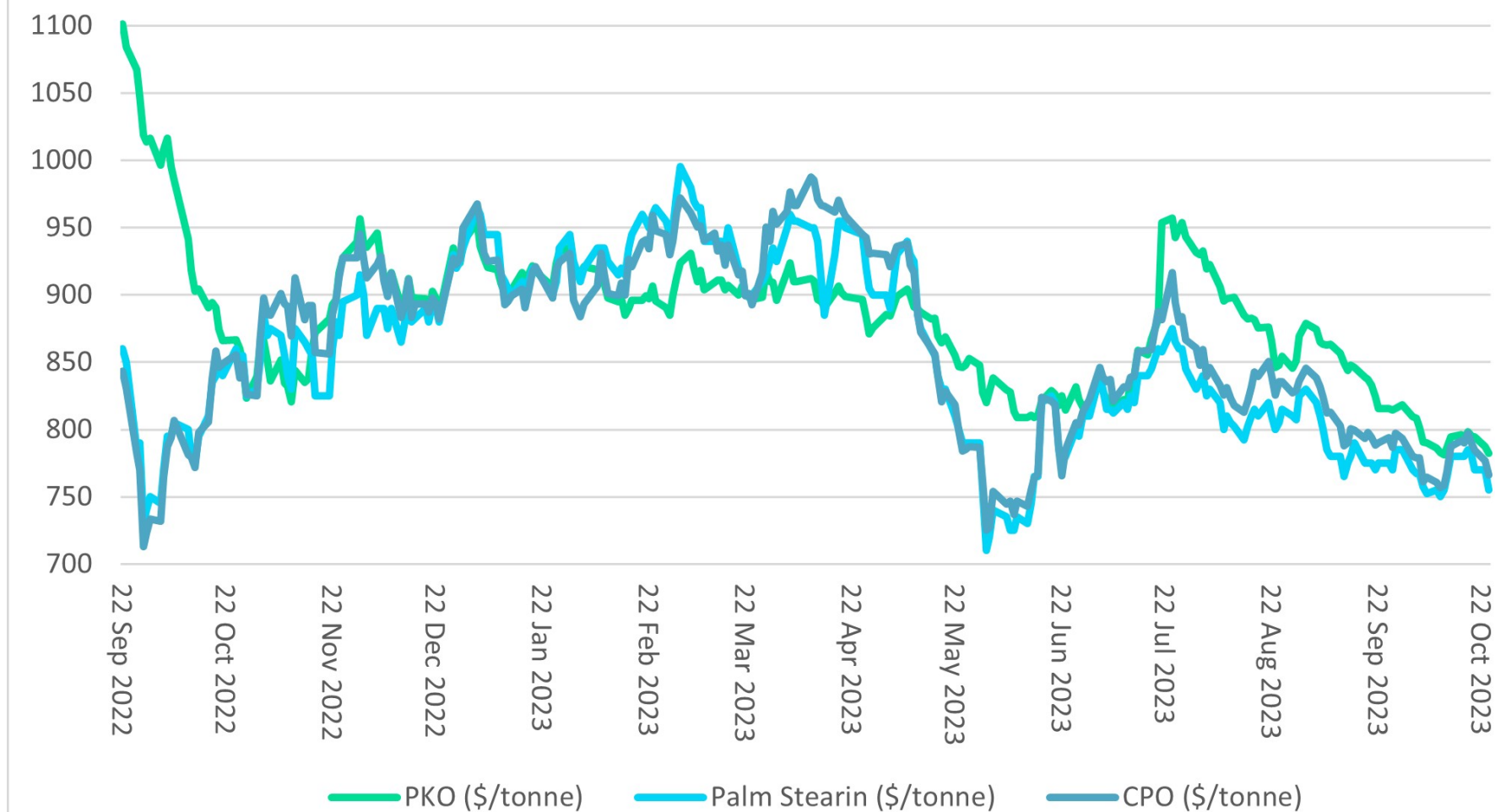
Product from southeast Asia is also not subject to import duty because of the free trade agreement (FTA) between the Association of Southeast Asian Nations (ASEAN) and China.

Discussions and trades of southeast Asia-origin product sold into China were not taken into consideration in the assessment.

Spot product from southeast Asia is typically more expensive due to its shorter delivery time frame and higher purity level.

UPSTREAM

CPO vs PKO vs Palm Stearin Prices



Product	Delivery	24-Oct	17-Oct
CPO	DEL, south Malaysia (M\$)	3,660.00	3,740.00

PKO	DEL, south Malaysia (\$)	782.42	792.77
Palm Olein	FOB, Malaysia (\$)	800.00	830.00
Palm Stearin	FOB, Malaysia (\$)	755.00	780.00
PFAD	FOB, Malaysia (\$)	740.00	760.00
All prices are on a per tonne basis.			
Source: Matthes & Porton			

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